EXIM INVESTIGATION

SECTOR REPORT

# Indian FMCG Industry

*Premium and rural reach decide who wins*

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Date: 6th October, 2026

Companies covered: HUL, ITC, Nestle India, Britannia, Dabur

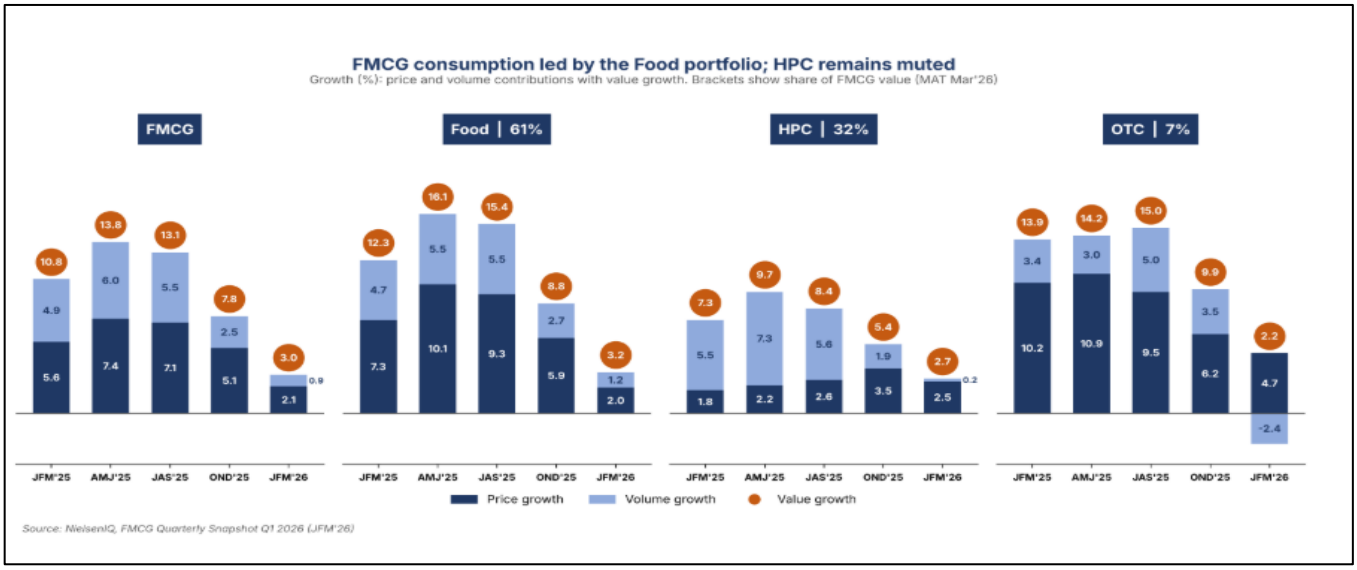
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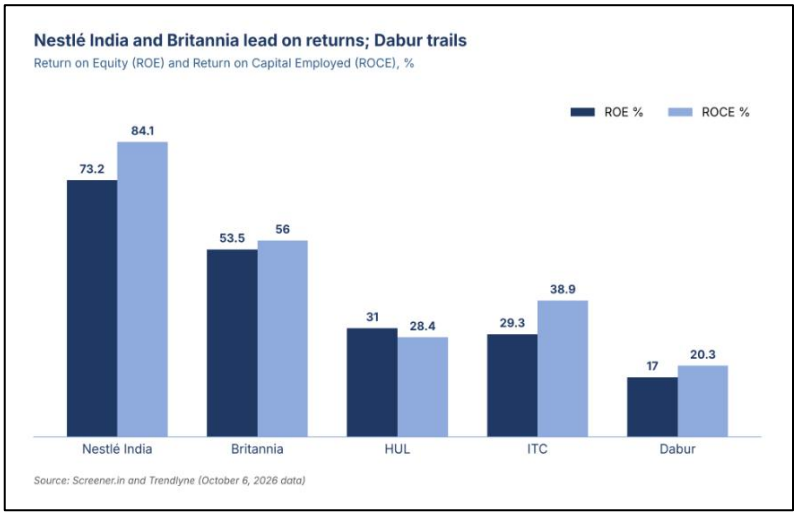
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# 1. Executive Summary

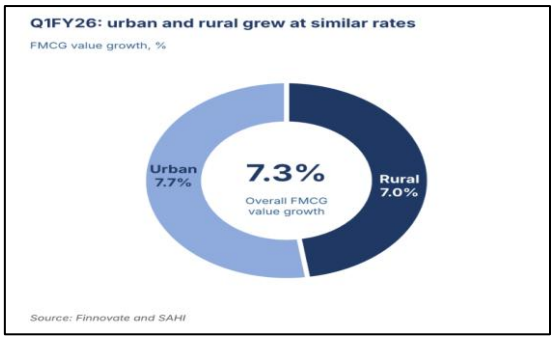
- India's FMCG market grew about **14%** from **US$253.62 billion in FY24 to US$289.12 billion** in FY25, and **IBEF** expects it to reach **US$642.87 billion by FY30, a 17.33% CAGR.**
- The **healthcare segment of FMCG** is one of the fastest-growing parts of India's FMCG market, accounting for about **32%** of it.
- **Urban market is outpacing rural market in FY 2026** as compared to FY 2025. Rural consumption remains muted versus a high base, reflecting affordability pressures rather than structural weakness.
- **Value growth remains positive in Q1'26,** supported by pricing and mix, while volume growth moderates versus last year. The sector transitions from inflation-led expansion to more calibrated, demand-led growth.
- Scale, channel strength, and urban exposure are becoming key differentiators of growth resilience.
- FMCG companies covered in this report, majority of them reflect high operational efficiency reflected by negative cash cycle days.
- **Volume growth** slowed from **6.0% in mid-2025 to 0.4%** in March 2026 after GST 2.0 disrupted the market. Traditional trade volume is falling (**-2.0%**) while modern trade grows about **21%**. (NeilsenIQ)




- FMCG giants are gearing up to capitalise on the heating Indian pet food market, driven by the rise in pet ownership and disposable income of owners.
- Most FMCG companies covered in this report trade at premium based on the multiples which could be justified by high ROCE and ROE exceeding **(60-70)%** but not by buying behaviour.




E-commerce continues to demonstrate structural, outsized expansion, now accounting for:
• ~7% of urban FMCG sales
• ~19% share in top metros, with consistent ~1% quarterly gains (NeilsenIQ)



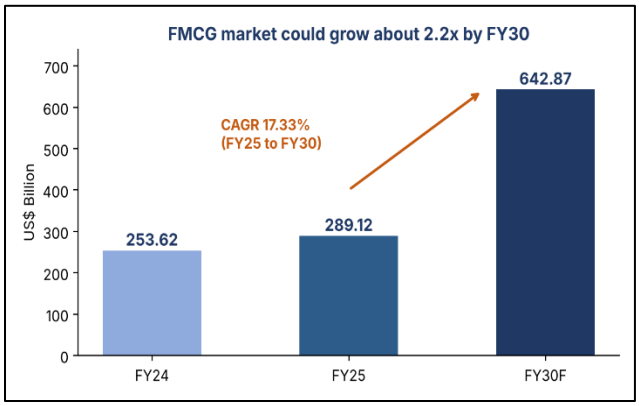
# 2. Industry Overview

## What is FMCG?

Fast-moving consumer goods are everyday products that sell in high volumes, turn over quickly, have a short shelf life either due to high consumer demand or because they perish rapidly and a low price per unit. These are products that are sold quickly at relatively low cost.
Examples are toiletries like toothpaste, soap and shampoo, batteries, light bulbs, paper products and packaged foods like biscuits, noodles and chips.

**Key Takeaway: FMCG is a non-cyclical sector, so demand stays fairly steady through business cycles. Most products are necessities that households buy every day, which keeps volumes large and predictable. Their low price per unit makes them affordable to a wide range of buyers, which supports high demand because each unit earns only a thin margin, companies depend on large volumes, so scale and distribution reach decide who wins.**

## Market size

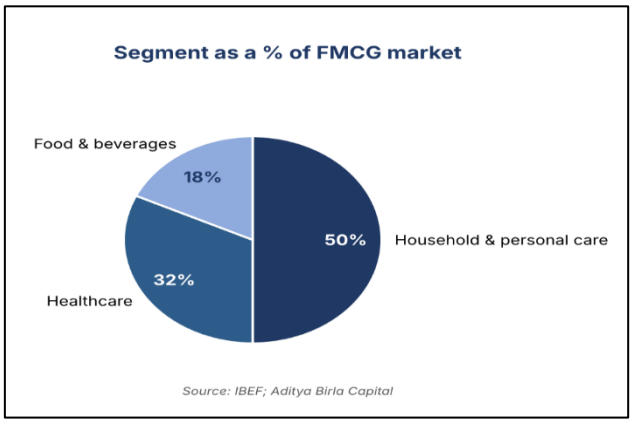



India's FMCG market grew about 14% from US$253.62 billion in FY24 to US$289.12 billion in FY25, and IBEF expects it to reach US$642.87 billion by FY30, a 17.33% CAGR.
Several forces support this. Consumption is shifting between urban and rural areas, and rural India is gaining importance as companies extend distribution there.
Digital expansion, including e-commerce, quick commerce and direct selling, gives brands new ways to reach buyers.
Demand is also moving toward processed food, healthcare and premium products, which raises spending per purchase.
Government policy support adds to this.

*Source: India Brand Equity Foundation (IBEF), FMCG Industry in India (market size FY24, FY25 and FY30 forecast). F = forecast. Chart redrawn from IBEF data.*

## Segment split

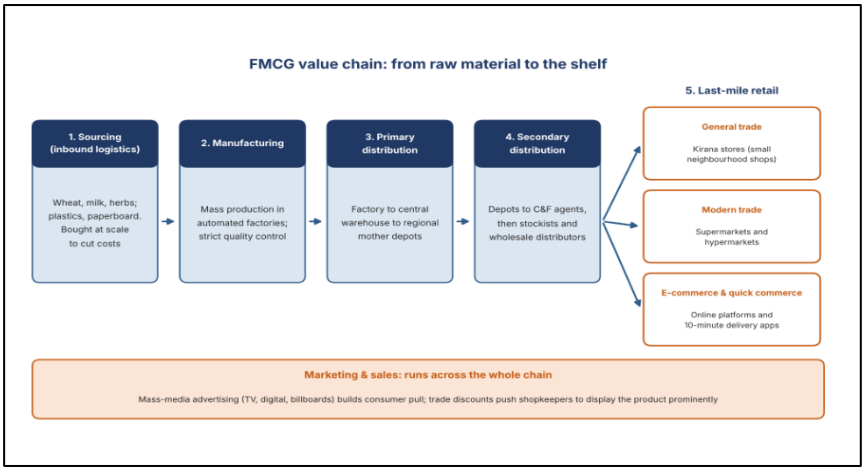
**Food and beverage sector** is one of the essential components of the FMCG market, which accounts for about3%of its GDP. The Union government approved a new PLI scheme for the food processing sector, with a budget outlay ofRs.109billion (US$1.46 billion). Incentives under the scheme will be disbursed for six years to (2026-2027).
The **healthcare segment of FMCG** is one of the fastest-growing parts of India's FMCG market, accounting for about 32% of it. It is projected to expand from about US$75.7 billion in 2025 to about US$187.8 billion by 2030, a CAGR of 19.9%. The Covid-19 pandemic pushed Indian consumers to put more of their spending on health. The wider health-tech market is also expected to grow at about 39% a year and reach US$50 billion by 2033. (IBEF)




**Household and personal care** makes up about 50% of India's FMCG market. Daily-use essentials, frequent purchases, wide consumption, rising hygiene awareness and strong demand in both urban and rural areas all support it. Within it, India's beauty and personal care market is projected to nearly double to about US$40 billion by 2030. Demand from Gen Z, digital adoption and the fast rise of quick-commerce channels are driving that growth (IBEF).

# 3. Value Chain and Business Model

Manufacturers, retailers and food entrepreneurs are competing for attention, discovery, repeat purchase and consumer trust across multiple channels simultaneously. The FMCG value chain describes how a product moves from raw material to the consumer because these products are bought daily, the chain is built for speed, scale and wide reach.

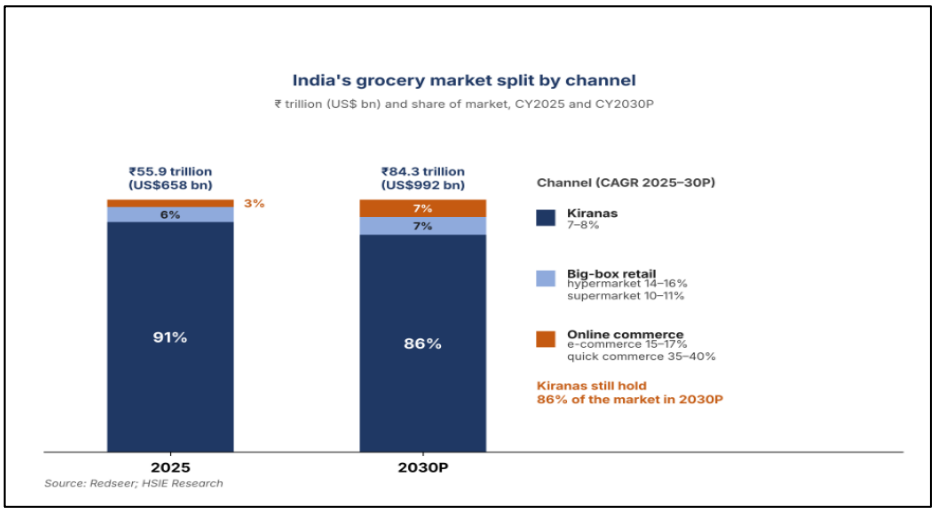



1. **Inbound Logistics**: Managing raw material supplies (like packaging, chemicals, or agricultural goods), warehousing ingredients, and controlling inventory tracking for high-volume production.
2. **Manufacturing**: At this stage, raw materials are converted into finished goods. Companies focus heavily on the speed and quality of production. Additionally, managing production quantities is crucial to avoid overstocking, which can lead to increased costs. Effective inventory management is key to ensuring optimal production levels.

3. **Primary Distribution**: Mother warehouse – the large regional warehouse receives stock from factory and provides it to smaller warehouse/regional warehouse. FMCG products are cheap, so profit comes from selling huge volumes, and whoever reaches the most shops fastest and cheapest wins.

4. **Secondary Distribution**: Finished goods pass through carrying and forwarding (C&F) agents to stockists and wholesale distributors. Marketing and sales run across the whole chain: mass-media advertising builds consumer demand (pull), while trade discounts and schemes motivate retailers to stock and push the product.

5. **Last Mile Retail**: The last mile is retail, split across general trade (Kirana stores), modern trade (supermarkets and hypermarkets) and e-commerce and quick commerce. E-commerce now accounts for 17% of the overall FMCG consumption among evolved buyers, who are affluent and make average spends of about Rs. 5,620 (US$ 68).(IBEF)




**Key Takeaway: In FMCG, the real competitive advantage is distribution and advertising – how well a company builds its brand recall through advertising and keeps it constantly available through wide distribution.**

Advent of modern trade and ecommerce largely replicates the model of business in the developed world. Q-commerce is fast forming inroads as the channel has also evolved to address needs of the Indian consumer. (HDFC securities Report and IBEF)

# 4. Growth Drivers

## Driver 1: Large Young Consumer Base

India has one of the world's largest young populations, which drives high consumption of FMCG products such as packaged foods, biscuits, personal care and hygiene products. This demographic is brand-conscious, experimental, and contributes to frequent and volume-based purchases.

## Driver 2: Strong Rural Demand

Rising disposable incomes, government support, and infrastructure development have narrowed the urban-rural gap, unlocking a huge untapped market. Rural demand now outpaces urban growth, with increasing preference for branded products due to low penetration and evolving consumer aspiration. India's fast-moving consumer goods (FMCG) market recorded its highest value growth in six quarters, reaching 8.6% for the Q2FY27 period ending September 30, 2026(SAHI).

## Driver 3: Expansion of E-commerce and Quick Commerce

Easy access through e-commerce and 10-minute quick commerce platforms has transformed consumer convenience, enabling doorstep delivery at the click of a button. This has led to a surge in impulse buying and repeat purchases, making it one of the most crucial growth drivers for FMCG. The E-Commerce segment is projected to contribute 11% of overall Indian FMCG companies' sales in 2030. India's e-commerce industry, valued at Rs.10,82,875crore (US$125billion) inFY24, is projected to grow to Rs.29,88,735crore (US$345 billion) by FY30, reflecting a CAGR of 18.4%(IBEF).

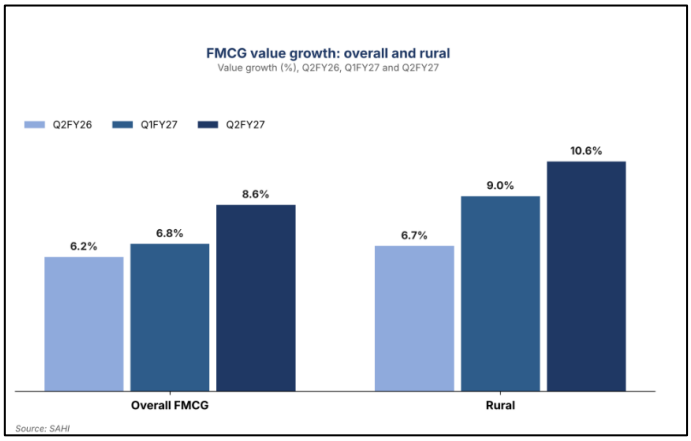
## Driver 4: Shift Towards Organized Retail and Deeper Penetration

Consumers in metro cities are increasingly shifting to supermarkets and online grocery formats, with organized retail accounting for up to 30% of FMCG sales in metros as per IBEF. Supported by a well-established distribution network and large-scale, low-cost production, FMCG players benefit from low penetration levels and a large consumer base. For instance, in September 2025, Tata Consumer Products signed an MoU to invest Rs. 2000 crore [USD 227.27 million] in food processing to expand manufacturing capacity.

**Q1FY27 FMCG growth at a glance**

| Indicator | Q1FY27 | Q4FY26 | Q1FY26 |
|---|---|---|---|
| Overall FMCG value growth | 6.8% | 3.6% | 7.3% |
| Rural value growth | 9.0% | 5.0% | 7.0% |
| Urban value growth | 2.3% | 1.2% | 7.7% |
| Rural ahead of urban | Yes | Yes | No |

Rural markets entered FY27 with much stronger FMCG sales-value momentum than urban India. Whether this lead lasts will depend on volumes, prices, rural incomes and the monsoon.

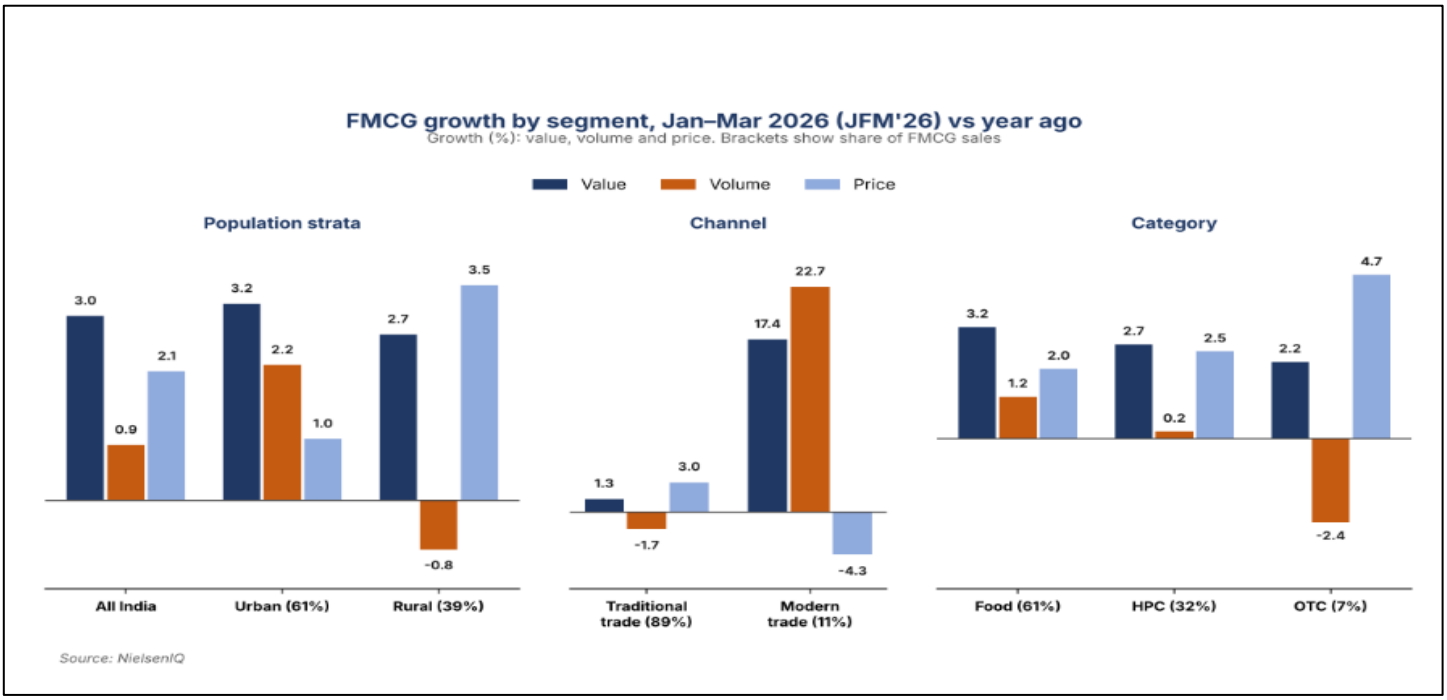



*Source: Finnovate and SAHI*

**Key Takeaway: Rural demand is the strongest driver of FMCG growth today. Rising incomes and brand awareness have pushed rural value growth to 10.6% in Q2FY27, ahead of the overall market at 8.6%. Quick commerce and e-commerce are the fastest-growing channels, driven by convenience and delivery within minutes. They are still a small share of the market, so they are a long-term growth driver, not yet the largest one. (SAHI)**

## 5. Risks and Challenges

| Risk | Why it matters |
|---|---|
| **Rising Cost of Raw materials and Transportation** | ➢ Rising costs of raw materials and transportation shrink profit margins.<br>➢ Also, fluctuations in supply chain costs due to external factors, making it hard to plan pricing strategies without impacting profitability. |
| **Consistency in Product Quality Management** | ➢ Maintaining a uniform brand experience globally becomes harder due to variations in raw materials availability, production standards and regulatory compliance. |
| **Staying Competitive in Pricing without sacrificing quality or profitability** | ➢ Striking a balance between competitive pricing and maintaining a product quality is a struggle for many brands.<br>➢ Consumers expects a value while inflation, raw materials and operational cost continue to rise. |
| **Sustainability concerns** | ➢ FMCG companies face increasing pressure to reduce their environmental footprint, particularly in terms of packaging and waste.<br>➢ ESG has evolved as a moat for many FMCG companies and improving ESG standards is crucial for companies' long – term growth. |




*Source: FMCG Growth chart recreated by segment using data from Jan-March 2026-NeilsenIQ*

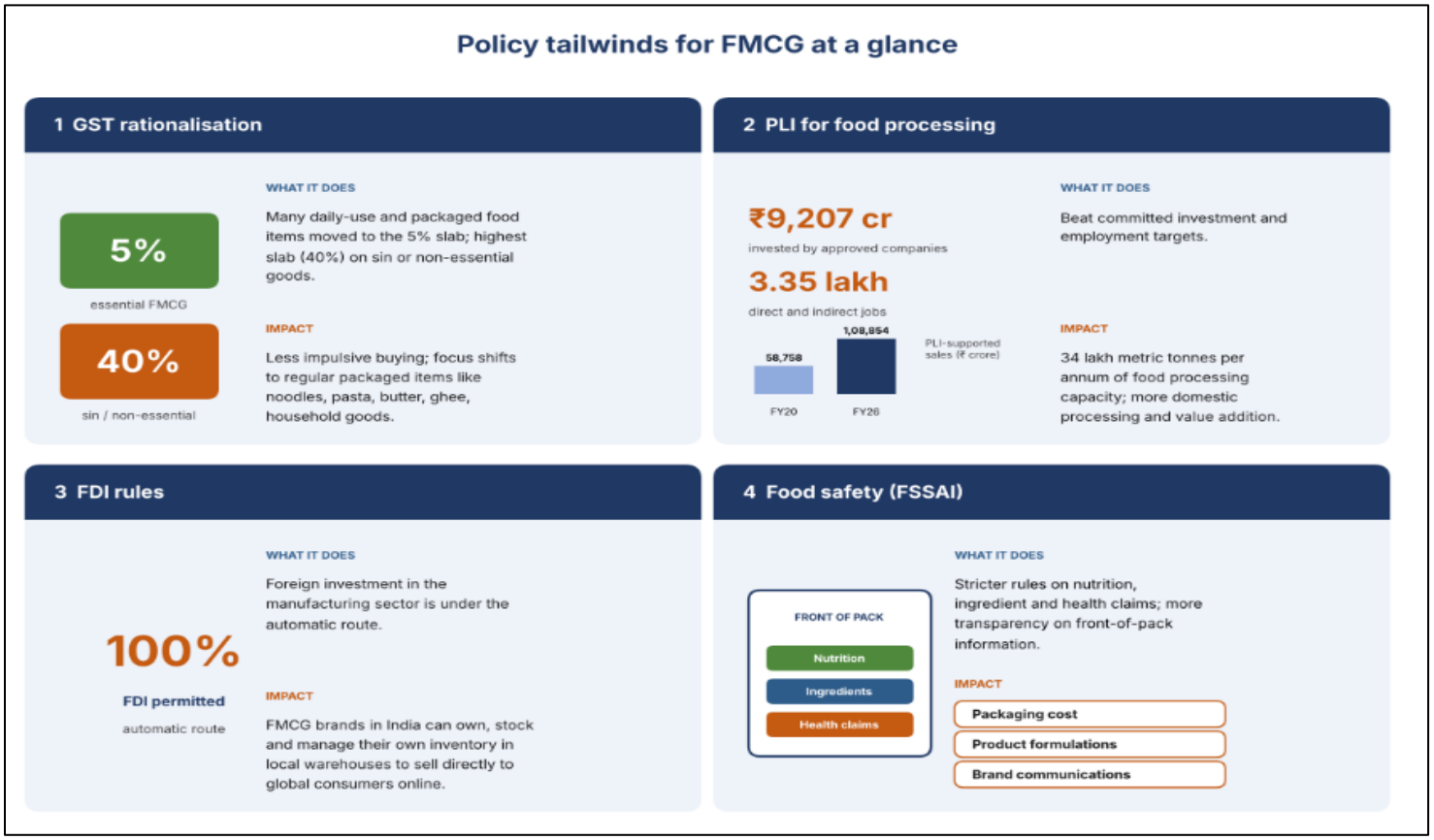
**Key Takeaway**:

- ✓ Growth was mostly price led while volume grew only **0.9%** overall and fell in rural India **(-0.8%), traditional trade (-1.7%) and OTC ( -2.4%).**
- ✓ Modern Trade strong grows, followed by non-Metro expansion.
- ✓ **Rural volume declines** on high base while **Urban grows** due to Modern Trade & Metro recovery.

## 6. Regulation and Policy

| Policy | What it does | Impact on FMCG |
|---|---|---|
| **GST rationalisation** | Lowered the tax burden on essential fast-moving consumer goods (FMCG) by shifting many daily-use and packaged food items down to the 5% slab, while imposing highest tax slab on sin or non-essential goods (40%) | Higher tax rates on non-essential and sin products has cooled impulsive buying and shifted focus of consumers towards regular packaged items like instant noodles, pasta, butter, ghee, and household goods. |
| **PLI for food processing** | Exceeded its committed investment and employment targets, with approved companies investing ₹9,207 crore and generating around 3.35 lakh direct and indirect jobs. | Created food processing capacity of 34 lakh metric tonnes per annum, while sales of PLI-supported products increased from ₹58,758 crore in FY20 to ₹1,08,854 crore in FY26, reflecting expansion in domestic processing and value addition. |
| **FDI rules** | In order to promote the FMCG sector in India, the Government of India has approved 100% Foreign Direct Investment (FDI) in the FMCG segment in single-brand retail along with 51% FDI in multi-brand retail. | FMCG brands in India can now own, stock and manage their own inventory in local warehouses to sell directly to global consumers online. |
| **Food safety (FSSAI)** | Stricter rules on nutrition, ingredient and health claim and greater transparency on front of pack information. | Affect packaging cost, product formulations and brand communications. |

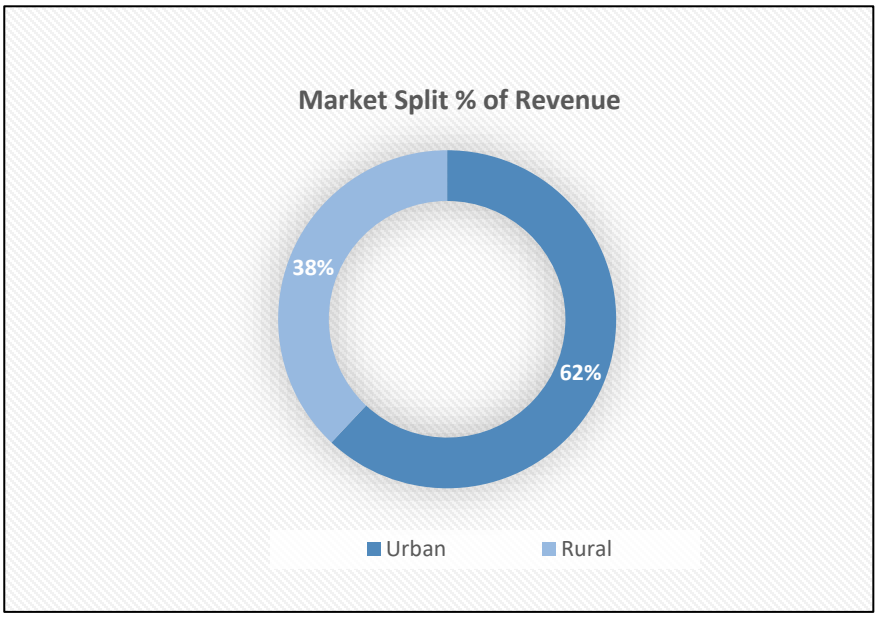
*Source: DPIIT, beacon filing*



# 7. Competitive Landscape

| Company | FY26 Revenue (Cr.) | EBITDA margin(%) | Power Brands | Differentiator |
|---|---|---|---|---|
| **HUL** | 66,052 | 24.23% | 50+ fmcg brands in India; Top earning brands being Surf Excel,Red label and Taaza | Distribution reach: **9M**+ outlets and **9 out of 10** households uses **one or more of HUL products** |
| **ITC Ltd.** | 76,488 | 36.59%+ | 30+ World-class Mother Brands; Top earning brands being Aashirwad,Sunfeast and Classmate while Cigarette being top earning segment. | Largest incubator of world-class Indian brands and over **₹ 37,000 Cr** consumer spend |
| **Nestle India** | 24,437 | 22.94% | 8 major umbrella brands; Maggi franchise alone generates roughly **25% to over 30%** of the company's total revenue, acting as its primary volume and earnings driver. | **Portfolio Premiumization**: Focus on value-added portfolios like KITKAT Delights and NESCAFÉ Gold. India has become the **largest MAGGI market** and the **second-largest KITKAT market** globally for Nestle. The company serves over **5.2 million retail outlets** across India. |
| **Britannia** | 19,529 | 19.77% | 15 to 20 major consumer brands across its bakery and dairy lines, with **Good Day** recognized as its top-earning and most trusted brand. | **House Of Brands** strategy with a deep focus on health-focused premiumization and extensive, multi-tiered distribution system. |
| **Dabur** | 13,552 | 22.13% | Dabur now has **23** brands in its **Rs 100 crore** portfolio across healthcare, personal care, and foods. Dabur have identified 9 Power Brands that together account for 70% of our Total Sales. | Dabur has one of the largest and deepest distribution networks in the industry, covering over **7.9 million retail outlets and reaching 120,000 villages with a wide range of world-class Ayurveda and nature-based products** across diverse categories such as Health Care, Home & Personal Care, and Food & Beverages. |

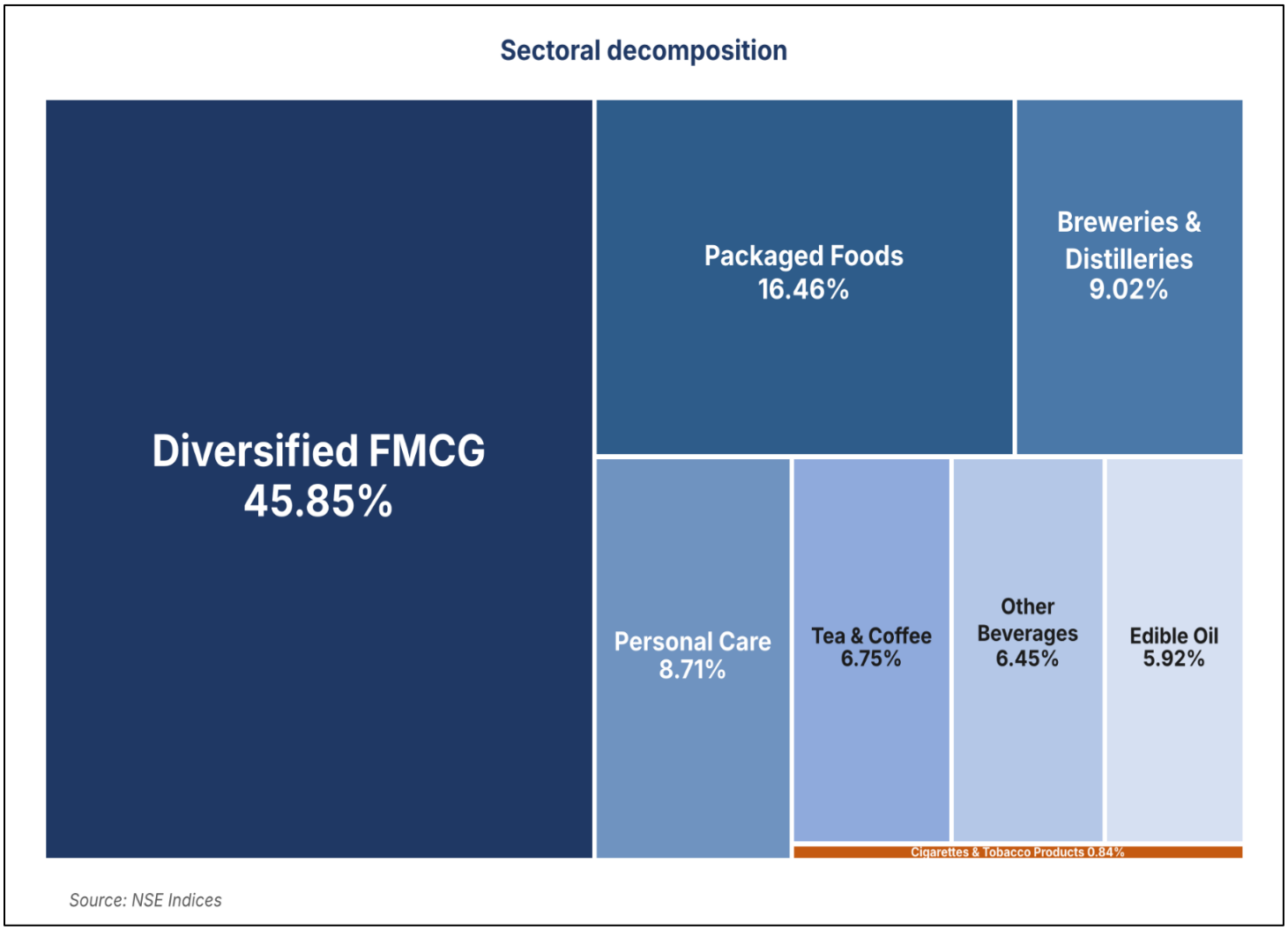
The food and beverage sector is one of the essential components of the FMCG market, which accounts for about **3%** of its GDP. Agricultural and processed food exports touched **Rs. 4,271.62 billion (US$ 49.4 billion)** in **2024–25**, with processed food accounting for **20.4%** of the share, up from **13.7% in 2014-15**. Rural FMCG volume sales grew by **8.4% in Q1 FY26**, outperforming urban markets, where volume sales increased by **4.6%** According to **CRISIL Ratings**, **organised FMCG companies** are estimated to have generated around Rs. **6.6 lakh crore (US$ 74.69 billion) in revenue in FY26**.
*Source: (IBEF'25, NSE Indices, Trendlyne and Company Annual reports 2025-26 and MD&A)*




Source: Kensesearch, IBEF (2025)

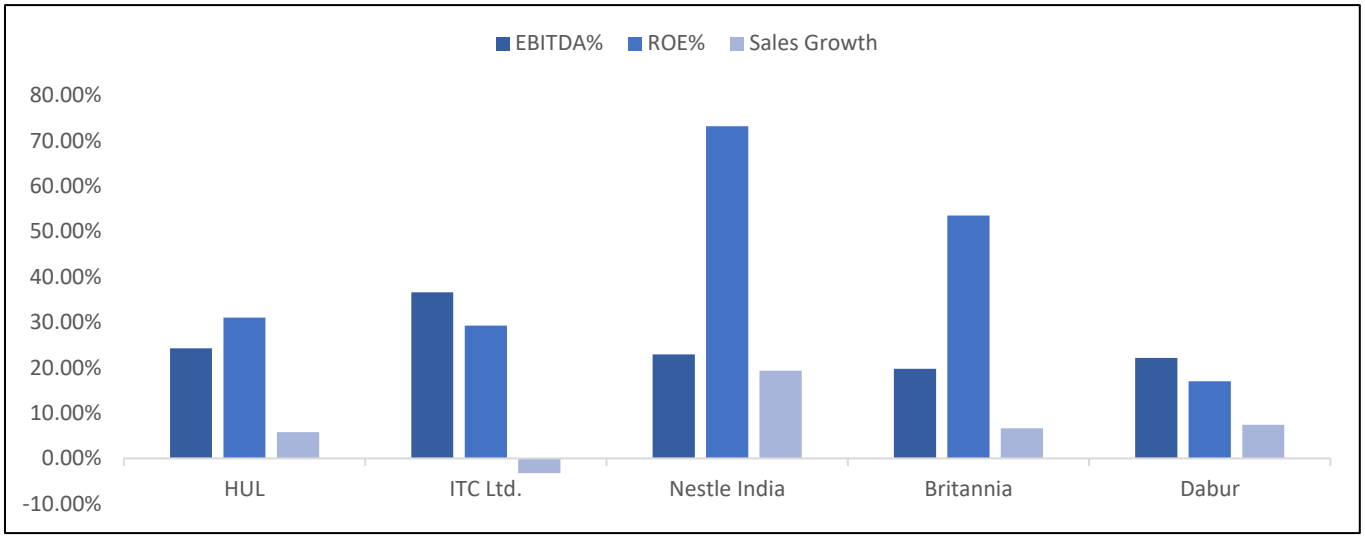
Rural markets are driving volume growth, with **51%** share in affordable and **42%** in super-premium segments. Rural FMCG spends have grown at **11%** CAGR over 5 years, faster than urban. In 2025, urban still accounts for **62%** of sector revenue vs **38%** from rural.

By revenue, urban markets remain dominant with **62%** share of FMCG sales in 2025, while rural contributes **38%**. On companies, HUL derives **35-40%** revenue from rural and uses its Shikhar platform (**1.4M retailers, 70% monthly active users**) to deepen reach. Dabur has higher rural exposure at **45-50%**, covering **1,31,000+** villages via **1.42M outlets.**




Source: NSE Indices

# 8. Financial Benchmarking




| Company | Sales growth | EBITDA % | PAT growth % | ROE % | ROCE % | Cash cycle (days) |
|---|---|---|---|---|---|---|
| **HUL** | 5.80% | 24.23% | 3.61% | 31% | 28.4% | -89.32 |
| **ITC** | -3.23% | 36.59% | -1.41% | 29.3% | 38.9% | 163.75 |
| **Nestle India** | 19.3% | 22.94% | 24.81% | 73.2% | 84.1% | -18.91 |
| **Britannia** | 6.63% | 19.77% | 18.70% | 53.5% | 56% | -9.11 |
| **Dabur** | 7.40% | 22.13% | 11.36% | 17% | 20.3% | -25.50 |

*Source: Screener.in. and Trendlyne (October 6th, 2026 data)*

- Nestlé India has one of the highest Return on Equity (ROE) ratios in the Fast-Moving Consumer Goods (FMCG) sector primarily because of its **lean equity base** resulting from high dividend payouts combined with **strong net profit margins**.
- ITC is the only company in my coverage with negative sales and PAT growth. ITC reported a ~27% YoY drop in standalone net profit to Rs. 3,579 crore in Q4 FY25. The drop is driven by a one-time statutory tax restructuring cost in the tobacco business and ongoing geopolitical and inflationary pressures. While headline revenues surged up to ~28%, profitability was severely compressed because tax and regulatory changes inflated the top-line without adding to the bottom-line. [Source :Scanex,, Reuters]
- Nestle leads, ITC leads on margin: Nestle India leads on return ratios with ROE of 73.2% and ROCE of 84.1%, reflecting strong pricing power and an asset-light premium portfolio. Britannia follows with ROE of 53.5%. On profitability, ITC leads with EBITDA margin of 36.59%, but this is due to its high-margin cigarettes business, not FMCG.
- ITC also shows the lowest sales growth at -3.23% in this period. According to Economic Times, this is due to heavy excise duty hikes and higher consumption taxes on cigarettes imposed by the Government of India, which compressed margins and led to a 6-7% volume decline in its core cigarette segment. This explains why ITC's margin profile is not directly comparable to pure-play FMCG peers.
- Cash conversion - HUL is the strongest: HUL has the best cash cycle at -89.32 days, meaning it collects cash from customers before paying suppliers and runs operations on negative working capital. Nestle (-18.91 days) and Dabur (-25.50 days) also show negative cash cycles, while ITC at 163.75 days is higher due to its agri, paper and hotels inventory, which is not comparable to FMCG.

# 9. Valuation

| Company | CMP (Rs) | PE (x) | EV/EBITDA (x) | P/B (x) | Dividend yield |
|---|---|---|---|---|---|
| **HUL** | 1895.20 | 40.38 | 27.57 | 9.14 | 2.16% |
| **ITC** | 266.70 | 16.92 | 11.71 | 4.61 | 5.44% |
| **Nestle India** | 1341.40 | 68.89 | 44.42 | 48.72 | 0.89% |
| **Britannia** | 4883.40 | 45.17 | 30.99 | 23.04 | 1.85% |
| **Dabur** | 388.90 | 34.78 | 22.12 | 6.04 | 2.12% |

*Source: Screener.in peer comparison.*

| Company | Discount/Premium | Reason for valuation |
|---|---|---|
| **Nestle India** | Highest premium | Nestlé India commands the highest premium due to its extraordinary ROE/ROCE of 70-80%+ from an asset-light brand model. Unlike diversified peers like ITC, its surgical focus on pure-play foods - Maggi, Nescafé, KitKat - ensures predictable earnings, while its Swiss parent's R&D drives continuous premiumization without any tobacco/ESG discount. |
| **ITC Ltd.** | Discount | ITC Ltd trades at a lower Price-to-Earnings (P/E) ratio compared to pure-play FMCG peers because of its heavy reliance on tobacco profits, regulatory headwinds, and conglomerate structure. Sharp hikes in cigarette and tobacco excise duties have forced price increases, leading to volume declines and near-term margin pressures. |
| **Dabur** | Fair | Following a significant **24% stock price correction** over the course of 2026, the stock has shed its previous expensive premium and now matches its actual growth rate. [Univest] |
| **Britannia** | Premium | Britannia commands a premium despite 19.77% EBITDA because of 2nd highest ROE 53.5% / ROCE 56% + strong PAT growth of 18.70% on 6.63% sales growth, showing high operating leverage and negative cash cycle (-9.11 days) efficiency. |
| **HUL** | Premium | PE lower than Nestle/Britannia because growth has slowed to 4-5% last 2 yrs. P/B 9.14x still high due to negative working capital and asset-light model. |

**Key Takeaway: Premium is justified on the basis of quality, ROE and ROCE but not for buying.**

# 10. Outlook and Conclusion

## SWOT ANALYSIS

### Strengths

1. Modern Trade strong grows, led by non-Metro expansion & low base.
2. Steady and stable growth in FMCG industry.
3. Quick commerce and E-commerce are the fastest growing channel for FMCG industry owing to convenience and delivery within minutes.

### Weaknesses

1. Price growth drops to lowest levels in last six quarters while average pack sizes improve.
2. Rural market growth has been declining on the basis of revenue split than urban due to affordability issue and increasing transportation cost.
3. Most FMCG brands have lower transparency regarding information about the product and false claims.

### Opportunities

1. Permission for automatic route by FDI now opens local FMCG companies to own, store and export inventory without needing any third party source.
2. The demand for premium products across categories like beverages, chocolates, and health foods is rising so the scope under premiumisation is high.
3. The quick commerce market in India has a total addressable market of **US$ 45 billion**, yet current penetration sits at just **7%**, leaving massive room for rapid scaling beyond traditional retail.

### Threats

1. Complex and stricter compliance framework increases overhead cost and reputational risk in the era of social media backlash.
2. Rural demand has slowed down as consumers are pivoting to discretionary products rather just staples leading to lower volume growth.
3. Rising of niche D2C brands such as Mamaearth, Minimalist are capturing market share from legacy giants by offering targeted, organic and specialized products to Gen Z and millennials through great marketing.

FMCG industry despite being a defensive industry has slowed in growth on the basis of volume but has a potential for growth projected to reach **US$ 642.9 billion by 2030,** reinforcing India's position as one of the **world's fastest-growing consumer markets.**




Government is supporting the FMCG sector through the Production Linked Incentive Scheme for Food Processing Industries (PLISFPI), PMFME Scheme, PLI initiatives, GST reforms, food processing incentives, and policies that strengthen manufacturing, supply chains, and rural entrepreneurship.

Delhi NCR and Greater Mumbai are India's largest single-city Fast-Moving Consumer Goods (FMCG) markets, generating massive annual consumer demand.

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